Problem Choice

Focus for This Quarter: Stabilizing Core Operations

Decision

I would focus this quarter on Problem 1: Core Operations Are Becoming Fragile.

Why This Matters Now

- Rising manual overrides and ops fatigue indicate the system is being held together by human effort.
- This creates silent risk across cost, scalability, and safety.

> The system runs on human effort today; stabilizing core ops prevents silent risks from becoming visible failures.



Why Problem 1 Is the Right Choice

What's Happening

- Daily manual overrides to system-generated routes
- ~18% QoQ increase in ops cost per trip
- Ops coordinators reporting fatigue and cognitive overload
- Manpower reduction goals reversing direction

Why It's Critical

- Manual intervention masks system inefficiencies
- Human compensation does not scale and breaks suddenly
- Cost and morale degradation compounds every quarter

When humans regularly 'fix' the system, the system is already failing.

Assumption:

The ~18% QoQ increase in ops cost per trip is materially driven by manual overrides, inefficiencies, and reactive workflows rather than purely external factors (fuel prices, vendor rates, inflation etc.).

Why Problem 2 Should Wait (Driver Overwork & Safety)

Important Risk, But Largely Downstream

Current Situation

- Drivers are increasingly exceeding recommended shift limits, leading to a rise in minor errors and delayed pickups.
- Ops teams do heavy manual checks, and big clients flag early safety issues.

Why Not Now

1 Downstream, Not Root Cause

Peak-day overload comes from bad routing and manual fixes; fixing only driver fatigue treats symptoms, not root causes.

2 Adds Operational Complexity

Standalone safety fixes add stricter rules, constant checks, and more exceptions—boosting ops work and team tiredness.

3 Increases Manual Dependency

Extra checks cut flexibility, slow ops, raise workload, and lower trust in automation.

Decision Rationale: Stabilizing core operations first improves predictability and routing efficiency, which naturally reduces driver overwork—without introducing new manual layers.

Why Problem 3 Should Wait(Heavy Asset Movement)

High Potential, Low Urgency

Opportunity

- New enterprise use case with high-value assets
- Strong long-term differentiation and revenue upside
- Low-volume, high-value movements enable premium pricing and strong unit economics

Why It's Not Right for This Quarter

- Net-new workflows (permits, compliance, asset scheduling)
- Longer sales and onboarding cycles
- High failure cost with limited room for iteration
- Does not address current operational fragility

Strategic Stance : Growth bets should be made on a stable foundation, not during system strain.

Assumption: Launching Heavy Asset Movement without stabilizing core operations would increase execution risk and distract from fixing revenue-critical systems.

Reducing Safety Risk by Fixing the System

Why Problem 2 is Critical

- Driver fatigue is a non-linear risk one incident can cause:
  - Client contract loss
  - Legal and reputational damage
  - Regulatory scrutiny
- Enterprise clients have already raised employee safety concerns
- Ops teams are compensating manually, which is not sustainable

How Solving Problem 1 Reduces Problem 2

- Inefficient routing and manual overrides create:
  - Peak-day overload (Tue–Thu)
  - Unpredictable shift extensions
  - Excessive overtime usage

By stabilizing core operations, we:

- Improve route efficiency → fewer unnecessary trips
- Increase predictability → better shift planning
- Reduce ops firefighting → less reactive driver usage

While not a complete safety solution, fixing core ops lowers the probability and frequency of driver overwork.

Defining Success - Metrics for the Quarter

% of Trips with Overrides

Why this matters

- Manual overrides indicate low confidence in system-generated routes

What improvement signals

- Trust in auto-routing cut mental effort and raised reliability at scale.

How I'd use it

- Track weekly trends by route type and time of day

$ Ops Cost per Trip

Why this matters

- Directly impacts EBITDA, margin sustainability and captures hidden costs.

What improvement signals

- Better routing cuts ops cost per trip and helps reduce manpower costs.

How I'd use it

- Compare baseline vs post-change cost per trip

Ops Coordinator Load

Why this matters

- High load correlates strongly with fatigue, errors, and attrition risk

What improvement signals

- Ops shift from firefighting to oversight, cuts fatigue, boosts stability.

How I'd use it

- Track average interventions per shift per coordinator

Together, these track trust, cost savings, and team well-being — the three keys to reliable scale.

What I'd Deliver in the First 45 Days

Days 1–15: Diagnose

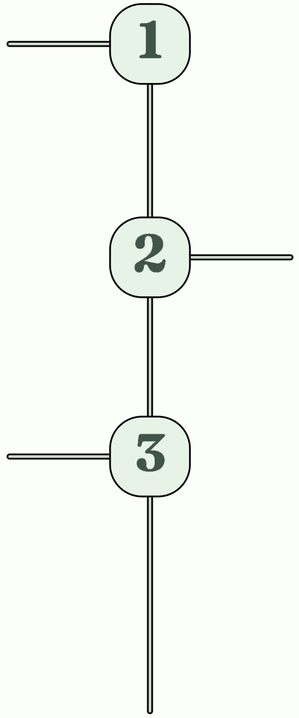
- Analyze override data to find top 2–3 root causes
- Shadow ops coordinators to understand decision fatigue
- Define "acceptable automation confidence" thresholds

Days 16–30: Build

- Improve routing rules for top override drivers.
- Add flags showing why each route was made.
- Reduce need for blind manual correction

Days 31–45: Validate

- Pilot fixes on busy high-volume routes.
- Track fewer overrides and less ops effort.
- Iterate based on ops feedback



Assumption: A single squad can meaningfully reduce overrides and ops load by targeting the top recurring failure scenarios rather than attempting a full system redesign.

Trade-offs, Risks & Early Failure Signals

Trade-offs / Risks

- Driver safety risk remains elevated in the short term
- New product exploration is delayed
- Ops teams must continue interim monitoring
- Improving only top override causes may leave long-tail inefficiencies unresolved

Mitigation

- Explicit safety thresholds and escalation rules
- Weekly review of driver hours and incident reports
- Focus on 2–3 highest-impact causes to avoid dilution
- Pivot if manual overrides or safety signals do not improve within 30 days

Early Failure Signals (within 30 days)

- No reduction in manual overrides
- Ops workload remains unchanged or increases
- Safety indicators worsen (e.g., driver complaints, delays)
- Any of these would trigger reconsideration of this decision

Assumption: While safety risk is real and rising, there is currently enough buffer (monitoring, SLAs intact, no major incidents) to prioritize foundational fixes without immediate catastrophic fallout.